authorities give their views of the outlook for the period ahead. Since the editors of this journal appear to select their material so as to give the ablest available presentations of both optimistic and pessimistic opinions, it is not surprising that opposing forecasts will be found in any such series of back issues. What is surprising is the degree by which such experts disagree with each other. Even more surprising is how strong and convincing some of the arguments were bound to seem at the time they were written. This is particularly true of some of the forecasts that turned out to be most wrong.

The amount of mental effort the financial community puts into this constant attempt to guess the economic future from a random and probably incomplete series of facts makes one wonder what might have been accomplished if only a fraction of such mental effort had been applied to something with a better chance of proving useful. I have already compared economic forecasting with chemistry in the days of alchemy. Perhaps this preoccupation with trying to do something which apparently cannot yet be done properly permits another comparison with the Middle Ages.

That was a period when most of the Western world lived in an environment of unnecessary want and human suffering. This was largely because the considerable mental ability of the period was devoted to fruitless results. Consider what might have been accomplished if half as much thought had been given to fighting hunger, disease, and greed as was devoted to debating such points as the number of angels that could balance on the head of a pin. Perhaps just part of the collective intelligence nowadays employed in the investment community's attempt to guess the future trend of the business cycle could produce spectacular results if it were harnessed to more productive purposes.

If, then, conventional studies of the near-term economic prospect do not provide the right method of approach to the proper timing of buying, what does provide it? The answer lies in the very nature of growth stocks themselves.

At the risk of being repetitious, let us review for a moment some of the basic characteristics of outstandingly desirable investments, as dis-cussed in the preceding chapter. These companies are usually working in one way or another on the very frontiers of scientific technology. They are developing various new products or processes from the laboratory through the pilot